

KEY FACTS STATEMENT FOR INVESTMENT PRODUCT AND SERVICES

Please review carefully before investing

Cedar Capital Limited is authorized and supervised by the Registrar of Financial Institutions as a Broker/Dealer

Investment Details

Account Types:

Trading account: Buying and/or selling shares listed on the Malawi Stock Exchange

Margin Trade Finance: Borrowing funds to purchase shares

A. Investment Details

Other Services

Advisory – for corporate actions

Research – issuing market and company research reports

Charges

1. Trading Account

a) Commission

K1-K50,000 @ 2%

K50,000-K100,000 @ 1.5%

Above K100,000 @ 1%

b) Other fees and charges:

VAT @ 17.5% will be charged on commission paid.

c) **Withholding Tax:** Will be levied at 2% of value of shares sold with exemptions on:

1. Clients that are tax exempted

2. Clients that are using the proceeds to buy other shares on the MSE.

d) Basic Charge of K50 is applicable

2. Margin Trade Finance Account

a) 1% of the amount is charged as arrangement fee

b) Margin Trade Finance facility is payable regardless of the performance of the facility. Interest is charged based on 364-day Treasury bill plus a premium. This is revised bi-annually. Applicable interest rate will be disclosed in the agreement.

3. **Advisory fee** – this is negotiated with the client at the outset and disclosed in the agreement

4. Research – this distributed for free

Other key features

Deposits and withdrawals preference is by EFT. Cheques may be accepted but they will have to clear before transacting. Strictly no cash is accepted or paid to clients

There is no penalty for early repayment of Margin Trade Finance facility.

Interest is not compounded on the Margin Trade Finance.

Time and mode of payment after maturity

Cedar Capital will provide a contract note to the client within 24 hours of completing the trade.

Settlement for Trading is T plus 3 – payment or receipt of shares in CSD is made three days after the date of trading.

There is no minimum investment for trading in shares and account opening is free

B. Investor responsibilities and Risks

Investors Responsibilities

- Understand the risks before trading.
- Monitor your portfolio and market conditions.
- For Margin Trade Finance – ensure payments are made when due and respond to any margin call promptly.
- Ensure compliance with tax obligations

Risks associated with the investment

- **Market Risk:** Investment values may fluctuate.
- **Performance Risk:** Past performance is not a guarantee of future returns.
- **Regulatory Risk:** Policy or economic changes can affect investments.

C. Conditions and costs of transferring ownership of investment

Transfer of ownership for related parties is approved by the Malawi Stock Exchange through a favour registration.

1. IDs of both parties to the transaction.
2. Written instruction from the investors, giving full particulars of the third party to whom the investment should be transferred involves completion of a CSD transfer form.
3. Proof of relationship (eg. Birth certificate, Marriage certificate, Business registration.
4. Incase of a deceased estate (death certificate, will, Affidavit, letters of administration).

Any other documents deemed necessary

D. Broker statutory obligation and Complaints Handling Procedure

Cedar Capital Obligations

1. Provide contract note within 24 hours of trading
2. Settlement of the transaction to be 3 days from date of trade

Customer has a right to obtain the statement of their account free of charge

Complaints Handling procedure

Redress Mechanism: Contact Cedar Capital CEO on 0111831995/ 0991449700 or email: kamphonia@cedarcapital.mw.

Or come and meet the CEO in person at Cedar Capital offices as in contact information in Section A above.

Unresolved issues can be escalated to:

Registrar of Financial Institutions, Consumer Protection Unit, Reserve Bank of Malawi, PO Box 565, Blantyre.

Phone: 01820299 or Toll Free 80008444:

Email complaints-handling@rbm.mw:

You also have the right to seek legal redress

E: Claims processing: See Customer recourse above

By Member: refer to customer recourse method in 3.2 above

Third party: only claims supported with the appropriate legal documentation will be accepted.

Documentation Required: Claim in writing to the CEO

Cedar Capital Limited does not guarantee investment returns and will not be held liable for any losses incurred as a result of market fluctuations, regulatory changes, or unforeseen economic conditions. Investments are made at the sole discretion and risk of the investor. It is recommended that investors seek independent financial advice before making any investment decisions.

**I ACKNOWLEDGE THAT I HAVE RECEIVED AND UNDERSTOOD THIS
STATEMENT PRIOR TO THE PURCHASE OF THIS SERVICE**

Check box for acceptance: